



FINANCIAL AUDIT

(170)

STATE 2021

FINAL

Presentation Points _____ (140 points)

Specification Points _____ (20 points)

TOTAL POINTS _____ (160 points)

Preparation Time: 20 minutes

Description

Competitors will conduct analysis of a case study that highlights an issue discovered during a financial audit and prepare a recommendation based on Generally Accepted Audit Standards (GAAS).

State Final Scenario

You are the lead auditor on the engagement for Dalton Inc., who manufactures tires. Dalton's year-end was September 30; it is now December 3 and the audit is expected to be completed and signed by next week. You are aware of an accident that happened at the factory in October, which involved a forklift puncturing a whole in a drum used to store waste. Production was halted while the accident was cleaned up. However, you have just become aware that some of the waste leaked into a local river. The Environmental Protection Agency is currently investigating to determine whether the release of the waste was a violation of environmental laws. Dalton's management has not commented on the event, nor have their insurers. As the auditor, what is your responsibility with regards to this new information?

A contestant will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.

Contestants who do not submit an entry that follows this topic will be disqualified.

Answers may include, but are not limited to:

- The events occurred after the end of the reporting period, so no adjustment is necessary to the financial statements
- The investigation by the EPA could result in legal action against Dalton, which would be a material event and therefore requires disclosure in the financial statements.
- Since the events take place before the signing of the audit report, as the auditor you have a duty to disclose material events